

is the kind of mutual fund you are most familiar with. Equity funds buy stocks of companies listed in the stock market.

Why not buy stocks directly? First, how will you know which stock to buy? The risk of buying the wrong share will cost you your peace of mind. When you buy a mutual fund you outsource the decision to pick stocks to an expert. Fund houses have teams of analysts that track companies, markets, international events, politics and interest rates to see the future of a stock. Based on their reports, the AMC builds your portfolio of stocks.

Why not just buy a blue-chip stock – or maybe three – and sit on it? You can do that but you will have to track the stock to see when it stops being a blue chip. Also, the growth that a blue chip sees may be slower than smaller and more aggressive firms, which also carry higher risk. And sometimes blue chips can tank.

The same diversification that worked for debt funds works here too. The risk of one-third of your money going to zero is very large if all your money is in three stocks. But the equity fund you buy has at least twenty-five to thirty stocks, reducing the impact of a blowout in one stock.

Diversification reduces the negative impact of an imploding stock. And conversely, it reduces the positive impact of an exploding stock. A bit like yoga – you are more balanced, the highs are not that high, the lows not that low. Quite a good place to be in. And not just for money.

Active and passive funds

Just like debt funds, there are various kinds of equity funds in the market. The first difference to understand is that between ‘active’ and ‘passive’ funds. Think of this as the difference between calling a taxi and taking the public transport – metro or a local train – to go to work.

Your experience of the taxi ride will depend a lot on the company you use, the car you choose and the driver you get. You may reach your destination very fast but the driver may jump red lights, drive too fast and take shortcuts that you are unfamiliar with. You get there faster but you also expose yourself to the risk of a cop catching the driver and causing delay or of an accident. Equally, you